

was making 18 percent a year into a losing investment. I think that says it all. Institutions make the same mistakes as smaller investors.

Capital allocators should be looking at the process—how does the manager go about picking stocks and managing the portfolio—not returns, which have no predictive value. Only if you really believe in the process do you have some chance of picking a manager who will outperform in the future. It is probably just as difficult to pick a good manager as it is to pick a good stock.

Do you believe that in the long-only world, periodic underperformance is almost a natural characteristic of better-performing managers over the long run?

That's an interesting question. What I would say is that to beat the market, you have to do something different from the market. And if you are going to do something different, sometimes you will underperform significantly. For example, if you are a value investor, there will be times when the market will be responding to factors such as emotion and momentum where a value approach might perform poorly.

How did you get involved in education reform?

I am a capitalist, but one of the things that makes capitalism an equitable system is when everyone has a fair chance. The way the system is structured, though, most children in need don't have access to a good education. If you are looking for leverage in philanthropy—that is, you want to get the most bang for your buck—education is one of the best ways to achieve that goal.

I started out by backing a seventh-grade class on Long Island that was in a very high-needs community. I visited the class a number of times, and it became quite clear that many of the kids were four or five grades behind in reading and math. This particular charity was helping the kids after school and a little bit before school, but the kids were wasting most of the school day because they were so far behind. After doing this for a few years, I went to the head of the program, Dr. Gerry House, and said that I would like to start with kindergarten or first grade to get to the kids before they fell so far behind. She said that it was a good idea, but that their mandate was to work with middle school and high school kids.